



SLOW BUT STEADY START

The Account Aggregator framework is slowly gaining traction

TOTAL BANK ACCOUNTS
917.7 MILLION

BANK A/Cs LINKED UNDER AA
3.49 MILLION

CONSENT REQUESTS UNDER AA
3.49 MILLION

TOTAL BANKS **78**

TOTAL NON-BANKING INSTITUTIONS **9,655**

PARTICIPATING BANKS & INSTITUTIONS UNDER THE AA FRAMEWORK **250+**

SOURCE SAHAMAT, RBI

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AT UNION BANK of India's metaverse banking offering, you have three choices to select your avatar. Uni-verse, as the state-owned bank calls its hi-tech offering, logs you in directly outside the bank's branch. Do keep in mind that you need to enter the branch via the proper gate. So if you're doing this for the first time, navigating to the entry point alone will take you a few minutes. Once inside, you come across a massive virtual lobby with LED screens on both sides. There is an avatar of a branch manager sitting at the far corner. On the right, there are counters with screens for banking services and customer service. On the left, there are wealth management and digital lending counters. In case you are interested in understanding the journey of the bank, there is a screen to take you through its history since inception. While Union Bank's initiative cannot be strictly called the metaverse, it is a scenario closer to reality, which enables customers to experiment and then choose a banking product. This is the first step banks are taking to create a virtual branch.

Without a doubt, technological advancements are driving customer behaviour, and banks—since it is

an issue of survival for them—have no option but to quickly react to the changes. Shalini Warriar, Executive Director of Federal Bank, says there are three trends that will determine banking in the future. "Customers expect personalised banking services. The expectation of personalisation of banking services from banks will be at a much higher level," she says. Today, Netflix or Spotify come very close in terms of personalisation. "The second is the role of artificial intelligence," she says. Take, for instance, ChatGPT, which is making waves in search by providing customers with what they want in a more structured manner than traditional search engines like Google. "Finally, customers will also expect banks to be conscious of their role in environmental, social and governance issues. And banks that do a good job of that will command a premium with customers," sums up Warriar.

Clearly, banks' future initiatives will be largely driven by customer expectations. The threat from disruptors will also drive them to innovate and experiment with futuristic solutions. For instance, in the past

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decade, the entry of fintechs forced banks to change or partner with the disruptors to offer a better banking experience. Similarly, path-breaking innovations like Unified Payments Interface (UPI)—a first in the world—have brought a revolution of sorts in every nook and corner of the country with easy QR codes for instant payments. The UPI numbers show the massive adoption by people and small merchants. And non-bank entities like Google Pay and PhonePe have left behind traditional banks in terms of UPI market share.

Then there are millennial cus-